Risk Escalation Guidelines (ESC-003)

Version 1.0 | Fictional document created for the FinGuard AI portfolio project.

1. Escalation Levels

Level 1 is the fraud analyst. Level 2 is the senior fraud analyst. Level 3 is the Head of Fraud Operations.

2. Escalation Triggers

Escalation depends on the size and speed of the change in risk indicators.

2.1 Level 2 Escalation

Escalate to Level 2 within one business day when the weekly fraud rate is between 2 and 5 times the baseline, or when a single merchant category or country shows a fraud rate above 20 percent with at least 20 transactions.

2.2 Level 3 Escalation

Escalate to Level 3 on the same day when the weekly fraud rate exceeds 5 times the baseline, or when coordinated activity across multiple customers is suspected, such as many accounts affected through the same device type, country and category.

3. Human Approval

Any consequential action requires documented human approval. Consequential actions include blocking a transaction, freezing or restricting an account, contacting a customer, and filing a regulatory report.

3.1 Automated Systems

Automated systems, including AI agents, may prepare investigation reports and recommend actions. They may not execute consequential actions. Every recommendation must be reviewed and approved by a named human reviewer.

4. Documentation

Each escalation must record the trigger, the evidence, the limitations, the reviewer and the decision. Records are retained in the audit log.